

## IT and non-IT products (consumer electronics) should be treated at par with regards to indirect taxes

—Suresh Khanna, secretary general at Consumer Electronics and Appliances Manufacturers Association (CEAMA)



ise the negative impact on revenue.

4. The above would result in expansion of revenues and huge employment opportunities.

**ELCINA** is not in favour of exemptions from excise duty as these have caused distortions in investments and fragmentation of the industry. This results in short-term investment thinking and does not strengthen the industry.

**CST and VAT.** CST is a major impediment to the growth of manufacturing and must be eliminated as soon as possible. It should be abolished completely on all electronic components, assemblies and inputs (at least up to the final equipment stage) to ensure that there is no negative protection against electronics hardware.

It may be noted that 4 per cent additional customs duty (ACD) levied on imports is viable when imported by manufacturers and refundable when imported by traders. Thus domestic

manufacturers of zero-duty products face negative rate of protection due to CST.

VAT is designed to replace various taxes such as excise duty, sales tax, CST and octroi. ELCINA recommends that VAT on all electronic components, assemblies, sub-assemblies and finished equipment be levied at a uniform rate of 4 per cent. At present, some of the components are specifically mentioned for 4 per cent levy, but those not finding mention in the Schedule attract 12.5 per cent VAT irrespective of whether they are final products or industrial inputs.

Khanna says that there is a need to treat consumer electronics products at par with IT products. With the advent of digitalisation, there is clear convergence of applications and technologies. Be they cellphones, personal computers, set-top boxes or MP3 players, the applications are overlapping and can be implemented in one or the other device.

An LCD monitor could easily be converted into a television by adding a tuner and audio-video card. MP3 players and iPods are fast replacing audio and video players, and these need computers to download music and video. A set-top box, which delivers TV channels, also delivers high-speed Internet and multimedia services to our homes.

In today's market, the difference between IT and non-IT products has blurred, as one can view the TV programmes on a PC and on mobile phone. Therefore CEAMA recommends that IT and non-IT products (consumer electronics) should be treated at par with regards to indirect taxes.

The government has taken a bold step to reduce the excise duty on all products by 4 per cent. Now there is a need to bring down the state VAT on consumer electronics products to 4 per cent, to put them at par with IT products. This will help in boosting the growth.

**Other issues.** There is a need to simplify procedures, particularly at the state level. For example, in the state of UP, manufacturers are required to submit a number of forms for manufacturing and transportation of goods. This needs to be simplified.

### Steps to attract foreign investment

Recommendations made above would attract domestic as well as foreign investments. The key is to have a long-term policy that supports investment with a long-term perspective. Investments in high-tech areas are capital-intensive and need serious investors with long-term horizons.

The special policy for semiconductor and high-technology investments revealed by the government last year is a step in the right direction. However, the biggest roadblock today for these projects is the market size, which does not have critical mass due to a small manufacturing base in the country. We need to create a supportive eco-system in special electronic manufacturing clusters and make available requisite inputs, such as power, water and logis-

### Budget wishlist

1. Eliminate customs duty on all the inputs for manufacture of electronics /IT hardware products; nil import duty on LCD panels will encourage LCD TV manufacturing
2. Levy a moderate customs duty of 5 per cent on STBs to discourage their imports and encourage local manufacturing
3. Eight per cent excise duty for all the inputs used in manufacture of electronic components, parts, assemblies and finished equipment throughout the value chain
4. Levy VAT at a uniform rate of 4 per cent on all electronic components, assemblies, sub-assemblies and finished equipment
5. Abolish CST on all electronic components, assemblies and inputs (at least up to the final equipment stage) to ensure that there is no negative protection against electronic hardware
6. Simplify procedures for manufacturers, particularly at the state level
7. Create a supportive eco-system in special electronic manufacturing clusters and make available requisite inputs, such as power, water and logistics, to facilitate high-tech investments
8. Improve infrastructure and logistics for economic progress of the rural areas